

5 Shadow AI Red Flags for Small Business Owners

A 3-Minute Self-Assessment — from TurinTech Solutions

Your employees are using AI tools right now. Here's how to tell if it's putting your business at risk — and what to do about it.

#1 You Don't Know Which AI Tools Your Team Uses

Ask yourself: Can I name every AI tool my employees have access to?

THE RISK

If you don't know what they're using, you can't control what data is being fed into those tools. Every public AI chat, every document upload, every code snippet pasted into an online tool is training someone else's product.

Quick fix: Do a 5-minute walkaround. Ask each employee: "What AI tools do you use for work?" Write down every answer. If the list surprises you, you have a Shadow AI problem.

#2 Client Data Is Being Pasted Into Public AI Chat

The most common scenario: An employee copies client info into ChatGPT to summarize, analyze, or "ask a question."

THE RISK

In California, this can violate the CCPA. In regulated industries (legal, healthcare, finance), this is a compliance violation. Under federal law, once data leaves your control via a public AI, trade secret protections are weakened.

Quick fix: Have a 30-second conversation with your team: “Do NOT paste client data into any AI tool without checking first.” Write a simple one-line policy and send it in an email today.

#3 You Have No AI Usage Policy

If you haven't told your team what's OK with AI tools, your default policy is: anything goes.

THE RISK

Without a policy, you can't hold employees accountable. And if a client asks “are you using AI with my data?” and you don't have an answer, you've lost trust.

Quick fix: Send this one-paragraph policy today: “For client work, do not paste confidential data into any public AI tool without approval. If you need AI assistance, ask me and we'll find a secure alternative.”

#4 Your IT Support Doesn't Cover AI Security

If your current IT person hasn't mentioned Shadow AI, they either don't know about it or don't know how to address it.

THE RISK

Traditional IT support focuses on keeping systems running — not on the new class of risks introduced by AI tools. Most MSPs don't have this expertise.

Quick fix: Ask your IT provider: “What are we doing to monitor and control AI tool usage across our network?” If they don't have a clear answer, you need a dedicated review.

#5 You Have No Off-Ramp From Public AI

If your team relies on free/public AI tools for daily work, you're dependent on services that train on your data and can change terms at any time.

THE RISK

Your business processes are now dependent on tools that treat your data as their training material.

Quick fix: Identify the top 3 ways your team uses AI. For each one, ask: "Could we do this with a local, private alternative?" Often the answer is yes — and it costs less than you think.

What To Do Next

Option A: Forward this checklist to your team. Have the conversation today.

Option B: Book a **\$500 IT Systems Audit** with TurinTech Solutions. I'll review your actual setup, identify every Shadow AI risk, and give you a clear action plan.

[Book Your \\$500 Audit →](#)

TurinTech Solutions — Local IT Systems Consulting for Orange County Businesses
Anaheim, CA | josh@turintechsolutions.com

[← Back to turintechsolutions.com](#)